COST MODELS

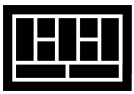


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SUPER GUIDE:
COST MODELS

BY DANIEL PEREIRA



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INTRODUCTION

The world of business can be quite exciting. Novel innovations are being discovered constantly, game-changing mergers and partnerships are an important part of the business landscape, and every moment new niches offer entrepreneurs an opportunity to tap into a previously untouched market.

However, behind the glitz and glamour of the business landscape, there's an admittedly unglamorous but vitally important aspect of business and accounting that most entrepreneurs find quite boring... **counting the cost**.

To be honest, nobody likes paying bills, but, just like everyone else, businesses need to keep the lights on and the assembly line running. The business world is driven by more than just profits and quarterly growth. Expenses must be made in order to acquire and maintain the resources required to drive an operation.

Anyone with the most basic grasp of the concept of buying and selling can tell you that a business is only sustainable when the income it makes is higher than the expenses incurred. However, the theory of cost is much more complex and dynamic than this simple understanding.

It involves several different concepts and types. In this article we'll delve into the theory of cost, the different types of cost, what they mean to the average entrepreneur, and how you can use this knowledge to drive growth and sustainability within your business model.

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WHAT IS THE COST?

To be quite frank, when delving deeper into the world of business and accounting, the concept of cost can become quite complicated. However, the purpose of this guide is to simplify this as much as possible while still ensuring that the necessary information to drive optimal growth is passed along.

Therefore, in the business world cost can be generally defined as "**any expenditure, typically expressed in terms of monetary value, that has been spent by a company in order to produce a product or service**".

From this basic definition, there are a few important key points to highlight. First of all, this is the definition of cost from the viewpoint of the producer/service provider. Cost can also be considered from the perspective of the consumer, something we commonly refer to as **price**.

Another important point to highlight is that this definition considers cost in terms of **monetary value**. There are other ways of counting costs, such as man-hours lost, opportunity costs, economic costs, certain kinds of debt, and so on. Most of these items can be grouped under the umbrella term **implicit cost**, which refers to costs that cannot be easily reported as cash outlays when balancing accounts.

From the definition, the **purpose of cost** is also evident. The expenses incurred by the business should be geared towards activities associated with the production of a good or service, or any other activity aimed toward the continued

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sustainability of the business venture. This could include the purchase of raw materials, operating costs, payroll expenditure, legal fees, advertising expenses, and so on.

Even though calculating costs and balancing the books are some of the most unexciting parts of the business, it is obvious why it is one of the most important aspects of building a successful business model. This is because, for a business model to be sustainable (and profitable) in the long term, the costs incurred in running the business should be less than the profits realized from the venture.

This is an oversimplification, as different industries have their unique ways of ascertaining and defining costs. We'll expand upon this more as we delve further.

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TERMS ASSOCIATED WITH COSTING

Before we continue, it's important that you become familiar with certain key terminologies and minor concepts associated with the theory of cost as it relates to the business world. This is because these terms will be repeated frequently throughout this article. They include:

FIXED COST

Fixed costs refer to expenses that do not vary with respect to output. That means that these costs are relatively stable and will occur even if the business is providing no good or service. That means that, even in periods of business inactivity, these costs still occur since they are the base costs necessary for running the business. For example, rent, property taxes, utility bills, salaries, loan repayments, insurance, and so on.

It's also important to note that, even though fixed costs may be stable in the short term, in the long run, they may change. For example, a business that decides to increase the number of locations in response to increasing demand or a desire for expansion. Therefore, it's best to understand fixed costs in terms of their lack of reliance on output instead of time.

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VARIABLE COST

Variable costs are expenses that vary in proportion to the output of the business. That means, as the output of the business increases in terms of goods and services, so also do its variable costs. Some good examples of variable costs include the cost of raw materials, packaging, delivery and shipping expenses, credit card transaction fees, and so on. These costs can vary significantly over both the short and long term.

Another way of understanding variable costs is in terms of the variable cost of production, which is the cost involved in the production of a single unit of a product or service. Variable costs can also sometimes be defined as the sum of all the variable costs of production associated with running a business.

In summary:

Total Variable Cost = Total Quantity of Output X Variable Cost Per Unit of Output

TOTAL COST

As the name implies, the total cost is the sum of all the expenses incurred in running a business enterprise. Generally speaking, it is a combination of both fixed costs and variable costs. It is also called the total economic cost of production.

However, there are several other definitions of the total cost. Some sources also define total cost as a combination of fixed costs, variable costs, and overhead costs. Overhead costs are costs associated with the running of the business, but are not

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directly associated with the production of goods and services. For example, rent and insurance payments. They are also referred to as indirect costs.

Another definition of the total cost is the summation of all expenses incurred in the production of goods and services, as well as the opportunity cost of these choices. Opportunity cost refers to potential benefits forfeited by a particular business venture by choosing a particular option over another. It is the “cost” of their choice and is considered a theoretical cost or missed opportunity.

Total cost is very important to business owners who wish to make informed pricing, supply chain, logistics, and revenue decisions concerning the sustainability of their business model. Total cost is also very useful for tracking the profitability of a business over time, as it gives a holistic picture of the state of the business's expenses.

In summary:

Total Cost = Total Fixed Cost + Total Variable Cost

It can also be stated as:

Total Cost = (Average Fixed Cost per unit + Average Variable Cost per unit) x number of units produced

DIRECT COST

This is a term used to describe expenses that are directly associated with the production of goods and services, as well as the maintenance of the business. It can also be defined as incurred costs that can be directly attributed to a cost object, which is typically a good or service. Another name for direct costs is specific costs.

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An important attribute of direct costs is the fact that they are usually also variable costs, i.e. they are directly proportional to the output volume, whether in terms of goods or services. However, some direct costs can also be classified as fixed costs as well. For example, regular maintenance costs are charged for machinery directly involved in the production of a good.

Some important examples of direct costs include direct labor wages, raw materials, manufacturing supplies, shipping fees, energy consumption, and so on. Due to their easily attributable nature, direct costs are somewhat easier to account for and calculate.

INDIRECT COST

An indirect cost is an expense that cannot be easily associated with a specific cost object — such as a product, service, or project — within a business structure. These types of expenses are typically also called administrative expenses or overhead costs, since they are usually associated with maintaining or running the business.

Indirect costs may also refer to costs that are not directly related to the production of a good or service, but are also essential for the smooth running of the business. It also includes other expenses which are attributable to multiple activities and cannot be assigned to a single cost object.

Some examples of indirect costs include accounting and legal expenses, administrative expenses, rent, security expenses, telephone bills, office supplies, and utility bills. It's important to note that indirect costs could be either fixed or variable costs.

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Correctly identifying and tracking indirect costs are quite important because they sometimes make up a significant portion of the total cost of a business, and yet they are notoriously hard to account for. Therefore, proper accounting of indirect costs is important for both short and long-term sustainability and profitability.

MARGINAL COST

Marginal cost refers to any expense incurred by a company if it produces one extra unit of output. It is also known as incremental cost or differential cost. Therefore, it can be defined as the increase in total cost due to the cost associated with the production of additional products or services. From this definition, it is evident that marginal cost is strongly associated with variable costs and direct costs.

Marginal cost is important because it is usually one of the first indicators that a business model is heading towards unprofitability. A business model may initially seem profitable on paper, but once its marginal cost exceeds its marginal profit, it is heading towards unsustainability.

Some examples of incremental costs include raw materials, shipping fees, direct labor, and utilities used in the production of that good or service.

Therefore, marginal or incremental costs are **solely** dependent on the increase or decrease in production volume. This can be represented mathematically as the differential of the equation:

Marginal Cost = change in Cost / change in Output

Why it is important to understand marginal cost because a significant amount of production efficiency and business

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success hinges on having a low marginal cost and high marginal revenue. By analyzing the relative incremental costs and revenues of different products, a business can decide on the most profitable goods and services to invest its resources in.

Understanding marginal cost is very important for implementing **Economies of Scale**. This refers to a situation where increased production of goods or services leads to lower per unit marginal cost. In other words, the average cost per unit steadily declines as production increases. This usually has to do with variable costs, as fixed costs tend to remain stable irrespective of the volume of output.

OPPORTUNITY COST

The concept of opportunity cost is one that is easy to understand in theory, but difficult to measure in practical situations. Opportunity cost can be defined as benefits lost when a business chooses one alternative over another. Opportunity cost is quite easy to overlook when taking into account all the expenses a business has incurred, and many businesses skip this vital aspect of accounting.

However, despite the fact that opportunity cost seems like a theoretical cost, it has several very important real-life implications. The principle behind the concept of opportunity cost is that resources are limited and for a business venture to be sustainable it must adequately channel its resources in such a manner that will ensure optimal return on investment. Therefore, they must not only consider the cost of taking a particular path, but the cost of not taking alternative paths as well.

To properly evaluate opportunity cost, all the respective benefits, costs, and risks associated with each alternative

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should be carefully enunciated. It is also important to remember that in terms of accounting, opportunity cost is strictly an internal cost used for resource allocation and management. This means that opportunity cost analysis is not included when accounting for profit and is excluded from external financial reporting, which includes other types of costs such as direct and indirect costs.

SUNK COST

Sunk cost is an interesting concept that applies to many areas of life, not just the world of business. However, in the business world, sunk cost is described as any expense that has already been incurred by a business entity and cannot be recovered. Due to the fact that these costs cannot be recovered, they should not be considered in future decision-making.

One of the reasons that it's so important that businesses (and individuals) understand the concept of sunk cost is because of a phenomenon known as the **sunk cost fallacy**. Businesses are run by people and are therefore also prone to falling for this false perception. It is described as:

"The phenomenon whereby a person is reluctant to abandon a strategy or course of action because they have invested heavily in it, even when it is clear that abandonment would be more beneficial."

Now, it's important to note that despite the negative connotations of the sunk cost fallacy, sunk cost itself may not be a bad thing. For example, expenses made by a business in things such as advertising, rent, equipment installation, salaries, utility bills, and so on, are often considered sunk costs. These expenses however were necessary for the continued operation of the business.

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Understanding the principle of sunk cost also allows businesses to know when it is time to abandon unviable projects, goods, or services, irrespective of the resources which may already have been invested into these cost objects.

Another vital thing to note is that sunk costs are **always** fixed costs. This is because the absolute value of a sunk cost does not change with respect to the volume of output. However, conversely, not all fixed costs are sunk costs. A piece of equipment purchased by a business (a fixed cost) can be resold to recoup some of the initial investment (therefore it is not a sunk cost).

Other names for sunk cost include retrospective cost, past cost, embedded cost, prior year cost, sunk capital, or stranded cost.

Examples of Sunk Costs

To better understand this concept, let's take a look at some real-life examples of the sunk cost fallacy.

- A business spends $10 million on building a factory. Just before its completion, the managers realize that there is no longer any demand for the type of goods that would have been produced in that particular factory. The market had evolved and consumers now demanded a different type of product. The manufacturer has a choice: finish the factory or retrofit it into a new in-demand factory for a further $5 million. In this situation, the $10 million already spent on the old plane is a sunk cost. It should therefore not be considered in decision-making, and the only relevant cost is the $5 million.
- The same company has already spent over $20,000

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training its employees to use a new assembly line technology. As the factory is no longer viable due to a lack of demand for that particular product, the $20,000 is now a sunk cost. The senior management team wants to discontinue the training program. The $20,000 spent on training the workers so far is a sunk cost and should not be considered in the decision of discontinuing the training program.

COST ALLOCATION

Costing can be understood as the process of estimating or evaluating the cost of producing an item or carrying out a particular activity. It involves the way a business presents this data in a suitably arranged manner for the purposes of price control and to guide the management in proper decision-making.

This could also be done to determine the cost of production of various goods and services, as well as identify the fixed and variable costs associated with their operation. Cost allocation helps a business reduce the total cost of production and identify wastage within the production process.

Cost allocation is a vital part of generating financial reports and comparing the actual cost of production with the estimated cost — a process known as variance analysis. This helps a business detect unaccounted or unexpected expenses which may be draining their revenue, leading to a drop in profits.

COST POOL

A cost pool is an accounting term that is used to refer to a grouping of individual costs which are later broken down

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further during cost allocation. For example, a cost pool labeled “customer service” will likely have various costs within it, such as telephone bills, litigation fees, refunds, and so on. Cost pools can help in the grouping of information into an actionable form for easier decision-making.

COST STRUCTURE

A cost structure is a part of a business development model which highlights the specific expenses incurred by a business while operating under an outlined business model for the purpose of delivering the business's value proposition — typically a good or service.

It refers to the types and relative proportions of fixed and variable costs that a business incurs. In a nutshell, it is a well-outlined plan which demonstrates how a business spends resources — typically evaluated in monetary terms — to achieve its goals.

COST OBJECT

A cost object is an accounting term that is used to refer to items or activities to which costs can be assigned. Cost objects are typically specific business items or processes such as equipment, labor bills, raw materials, and so on.

ECONOMIES OF SCALE

This refers to a reduction in per unit cost that larger businesses enjoy as they increase their production volume. This decrease in cost per unit of production encourages an increase in scale. This may be due to the costs saved by buying raw materials in bulk, increased specialization, the ability to attract workers with advanced technical skills, or

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greater access to capital.

ECONOMIES OF SCOPE

These are advantages a company enjoys due to varying its scope of operations. This is because these different products get to share the same resources and processes. This allows for greater flexibility, faster response rate and shorter time to market changes, lower risk, reduced wastage, and more efficient use of software and hardware.

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COSTING

We've explored the meaning of cost as it relates to business and economics, as well as the different types of costs and other related terminologies. Now it's time to take a look at another important concept that is closely relegated to the theory of cost... costing (also referred to as cost allocation).

Costing can be simply understood as the process of estimating or evaluating the cost of producing an item or carrying out a particular activity. In more technical terms it can also be described as the process of a business determining, classifying, estimating, and evaluating the appropriate allocation of expenses to determine the costs of products or services. It also involves the presentation of this data in a suitably arranged manner for the purposes of price control and to guide the management in proper decision-making.

There are a few important reasons why a business may carry out costing. They include:

- To determine the unit cost of production of various goods and services, as well as identify the fixed and variable costs associated with the operation of that particular business model.
- To use this information to guide the determination of the selling price of their product, as well as guiding price policies. This is because for a business model to be sustainable and profitable, the marginal revenue must consistently exceed the marginal costs, as well as the overhead costs.

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- It helps a business reduce the total cost of production by allowing them to identify areas that can be improved upon and increasing operational efficiency within the supply chain or production process. It is also a great way of detecting wastage within the production process and stemming this before it becomes detrimental to the sustainability of the business.

- It is also useful for determining both workers' wages and productivity, since an increase in marginal cost without an increase in marginal revenue is an early sign of reduced worker productivity. On the other hand, reduced marginal costs with increasing or steady marginal revenue show increased efficiency and productivity, which can also be reflected by an increase in worker salary.

- It helps a business identify the most profitable design when considering the production process. This is because costing allows a business entity to accurately measure the respective marginal costs associated with each particular type of production process and choose the most profitable form, or make changes to the design of an already existing process in order to improve profitability.

- It is a vital part of creating financial reports and interacting with various entities such as insurance firms, investors, banks, and even potential buyers. It’s nearly impossible to carry out activities associated with these entities without first providing a comprehensive account of the cost profile of the business.

- To compare the actual cost of production with the estimated cost. This helps a business detect unaccounted or unexpected expenses which may be

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draining their revenue, leading to a drop in profits.

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TYPES OF COSTING

Before we look into the types of cost, it's important to understand the factors which may influence the type of costing system adopted by a business entity.

- One of the most important factors is the industry involved in the costing process;
- The number of goods or services being produced;
- The types of goods and services being produced;
- The manner in which the workers are employed and paid.

Let's take a look at some of the different types of costs.

ABSORPTION COSTING

Absorption costing is a costing system in which the full cost of manufacturing an item or providing a service is evaluated. Due to the fact that it takes into account all costs involved in a business operation, it can also be referred to as full costing.

During the process of absorption costing, all the fixed and variable costs associated with the production of a good or service are assigned to particular cost units and the overhead associated with the operation of the business is absorbed based on the business's activity level and distributed to various departments (a process called apportionment). This also includes both the direct and indirect costs associated with the operation of the business.

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It's important to note that the overhead apportioned by a unit item is fixed overhead. It's also important to note that overhead cost is allocated to an item, whether that product was sold within that period of time or not. Things such as labor costs, rent, raw materials, and so on are usually included in the absorption costing.

A characteristic feature of this type of cost allocation is that more cost is included in the ending inventory of the business, which is then subsequently carried over as an asset on the balance sheet of the next business period. Therefore, due to the fact that a larger number of expenses are included in the ending inventory of the business, expenses on the income statement are typically lower when using absorption costing, something which must be carefully taken into account.

HISTORICAL COSTING

Historical costing is another costing concept that is quite important to note. Historical costing can be defined as an accounting method or form of cost allocation which takes into account the value of an asset based on the original cost of the item at the time of procurement or acquisition. This type of costing is usually applied for fixed costs.

This is usually done for assets that have the potential to appreciate or depreciate significantly over time. This could include items like landed property, production equipment, and certain liabilities.

There are several reasons why a business may choose to undertake historical costing. The reason is that it provides a more convenient and comparable cost analysis of the various assets of the business, as the valuation of an item in terms of appreciation and depreciation can be subjective. On the

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other hand, the historical cost of the item is fixed and not subject to change.

Another reason is that historical costing is relatively easy since it deals with fixed costs and most of these costs can be determined simply by retrieving and compiling their original certificates or receipts of purchase. It's also more convenient for businesses that produce frequent cost reports.

However, one significant drawback of this method is that it may not reflect the true value of the asset if it has undergone significant appreciation or depreciation over time. Therefore, historical costing may not be suitable for a range of uses such as business acquisition, loan collateral, insurance payments, and so on.

MARGINAL COSTING

Marginal costing is a system of cost allocation which is typically used when measuring the cost of variable expenses. It involves the evaluation of the effect of variable expenses on the total cost of production with respect to changes in the total volume of production. This allows a business to determine the effect of volume and the individual variable costs on the overall profitability of the business and make decisions based on this information.

Marginal costing is quite important because it gives a more accurate depiction of the state of profitability of a business in the short term. This is because total fixed costs remain relatively stable over short periods, meaning that significant short-term changes in profit margins are usually due to changes in variable costs. This means that a break-even analysis is essential for this type of cost allocation in order to determine the level at which the business is profitable or unprofitable.

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Marginal costs are the main basis upon which price fluctuations and price determination occur, since most fixed costs are relatively stable over time. It also helps prevent the over or under-allocation of overhead or resources.

STANDARD COSTING

Standard costing is another important part of cost allocation, which is mostly adopted by large-scale manufacturers. Standard costing helps a business determine the difference between the expected cost of production and the actual cost of production, a process that is also referred to as variance analysis.

The first step to variance analysis is to determine the expected cost of the production of food and services under typical operating conditions — the standard cost — before comparing it with the actual cost of production.

If it is discovered that the actual cost of production is higher than the expected cost of production, then the business is said to have a negative variance. This situation is unfavorable because it means that the business entity is spending more than expected for the production of goods or services, inferring that some form of hidden cost or wastage is occurring.

On the other hand, if a business finds that the actual cost is lower than the expected cost, this is called positive variance. This shows that the business may be enjoying the benefits of economies of scale or economies of scope.

Within this context, two primary variables significantly affect the variance analysis result. The first is the cost of the input — also called the price or rate variance — and the quantity or

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efficiency of the input (also referred to as the volume variance). The rate variance simply means the difference between the expected price of a cost object and the actual price, while volume variance refers to the difference between the expected volume of a cost object consumed and the actual volume utilized.

LEAN COSTING

Lean costing is a form of cost allocation which assigns value-based prices to an item in contrast to historical costs or standard costs, which are not built on the current value of the cost object being evaluated. This gives a more accurate analysis of the cost structure of the business and in the day-to-day or short-term analyses of the price, it is one of the most important cost allocation systems adopted.

One of the advantages of adopting a lean costing method is that it helps detect areas of waste where operational activities can be improved upon in order to maximize profits and drive down the total cost of production. This is because the driving principle behind this is an attempt to extract maximum productivity from as few resources as possible.

ACTIVITY-BASED COSTING

Activity-based costing is a form of cost allocation whereby overhead costs are assigned to specific activities associated with the production of goods or services within a business. These activities are collectively referred to as cost drivers because they typically form the bulk of the total costs of production a business entity has to shoulder.

This form of cost allocation is generally more accurate than total costing, since it assigns these costs to specific units of

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production. It allows a business to more accurately measure its costs as well as profitability.

DIRECT COSTING

In the direct costing method of cost allocation, a business entity pays key attention to direct costs associated with the production of a specific good or service. Following the calculation of this, all indirect costs are written off in the profit and loss account. While this type of cost may be somewhat simplistic, it is favorable in certain situations and easier to do since direct costs are more easily identifiable and quantifiable than indirect costs.

It's also important to note that most times direct costing does not take into account fixed costs as these do not change with output and remain relatively stable over time. Therefore, only direct variable costs are measured, which makes the method better suited for short-term decision-making.

UNIFORM COSTING

Uniform costing does not refer to a particular costing type, but rather the practice of a business entity using the same costing system to evaluate several different entities under the business. This allows them to perform a comparative analysis of the performance of these entities.

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IMPORTANT METHODS OF COSTING

Now, let's take a look at some important costing methods which are usually adopted by various business entities.

UNIT COSTING

Unit costing is a system that is typically employed by companies that produce large quantities of identical or nearly identical products or services. It can be defined as the total cost incurred by a business entity in the production and distribution of a single unit of a particular good or service.

It takes into account all the variable and fixed costs associated with the operation of the business entity. It simply involves identifying the total cost of production and dividing this value by the number of items produced. Another name for this type of costing method is single output costing.

The cost is usually made up of labor costs, the cost of acquisition of raw materials, shipping and packaging, payment processing fees, and so on. It is also a quick way of checking the operational efficiency of a business. A great way of lowering unit cost which is usually adopted by large-scale manufacturers is through the use of economies of scale.

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JOB COSTING

While unit costing deals with items that are typically identical and can be easily grouped, job costing deals with goods or services which are tailored to the specific requirements of the task at hand. In simple terms, the cost is charged per “job” or project carried out. Job costing is mainly seen in areas such as construction, software design, manufacturing of a small batch of unique products, and so on.

Using this method can help you identify the class of projects or jobs which are more profitable and those which are less profitable. It also gives you a basic idea of how to effectively and accurately cost similar jobs in the future, which can be quite difficult in an industry that deals majorly with tailor-made services.

To calculate the job cost, the cost of labor, raw materials, and operational overhead for a particular job is pulled together and analyzed. Therefore:

Total Job Cost = Direct Materials + Direct Labor + Applied Overhead

CONTRACT COSTING

Contract costing (which is also referred to as terminal costing) is a costing method that is typically applied for large-scale projects which may carry out over extended periods. It is somewhat similar to job costing, but it deals mainly with massive projects. This is because such projects may vary widely and are typically priced based on the specific specifications of the project at hand.

Another important thing to note about contract costing is that

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in many situations, the costing is not done solely within the business. It is usually carried out between the contractor — i.e., the business entity which is in charge of executing the job — and the contracted — i.e., the person for whom the job is carried out.

It is also important that since these contracts can occur over extended periods of time which may range from weeks to months, and even years, the costing (as well as payment) is usually carried out at regular intervals or when specific milestones have been met by the contractor. It is also customary for each party to maintain a separate account of the cost sheet for comparison and transparency.

BATCH COSTING

As the name suggests, batch costing is typically carried out for items that occur in batches of near-identical or identical units. Unlike unit costing, which deals with businesses in which all the products are the same, batch costing is best for businesses that produce different batches of identical items.

Therefore, the cost per unit item is calculated by obtaining the total cost of a batch and then dividing this value by the number of identical items within the batch. Also, similar to unit cost, the cost of the batch is determined primarily by variable factors such as labor, shipping and packaging, the purchase of raw materials, electricity bills, and so on. A great example of companies that may adopt this method of costing is pharmaceutical and cosmetic manufacturers.

PROCESS COSTING

Process costing is a method of cost allocation that is used by businesses in which the final product goes through different

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distinct stages of processing, with the end-product of each stage forming the starting raw material for the next stage. Each stage is both capital and labor-intensive, therefore in determining the total cost or per unit cost of the product, it is more accurate to sum up the individual costs of each phase of production. This type of costing is also known as **continuous costing**.

This form of costing is particularly advantageous in industries where the end-product of each stage of production can be sold separately. This is because it allows the business entity to create accurate total costs for each stage of production. It is also popular among companies that mass produce identical or nearly identical items.

It is important to note that both direct and independent costs are closely monitored during each stage of production. Process costing is common among industries such as paper mills, the textile industry, chemical industries, food production, oil processing, and so on.

SERVICE OR OPERATING COSTING

Service costing is a costing method that is usually applied within the service industry and is used to measure the expenses involved in providing a particular service. This could be used in the transportation industry, medical care, equipment maintenance, the hotel industry, nursing services, and so on. It is also called **operating costing**.

This is useful because these services involve a complex mix of both direct and indirect costs, as well as fixed and variable costs, which may make it difficult to evaluate the cost using other costing methods. This is especially true in industries that are solely focused on the production of intangible products such as services, making the calculation of the

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standard cost per unit somewhat difficult.

Therefore, a key way of classifying these costs is based on the extent to which the service was provided. This unit of measurement may differ widely in a variety of industries. Some examples include costing based on kilometer per person, per kilowatt-hour, per plate, per room per day, and so on.

MULTIPLE COSTING

Multiple costing is a form of cost allocation used when a finished product is made up of a variety of components that have unique production processes and are individually evaluated using different cost allocation methods. Therefore, multiple costing is a way of determining the individual total costs or cost per unit of these items and then using this to determine the total cost or cost per unit of the finished product.

The multiple costing methods involve the use of several different costing methods, which must all be properly integrated to ensure maximum accuracy in the report. That is why this type of costing can also be referred to as **composite costing**.

This form of costing is popular in industries involved in the manufacture of certain products such as electronics, automobiles, mobile phones, heavy-duty machinery, and so on.

INVENTORY COSTING

Inventory costing is a method used by businesses to determine the costs of various finished goods within their

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inventory. Typically, it is used to evaluate the assets held by a business. There are several different types of inventory costing that can be used, and one may be better suited for a particular industry than another. Let's take a broad look at the most common techniques used in inventory costing.

First In, First Out (FIFO)
In this form of inventory costing, the oldest costs are assigned to the first items sold, irrespective of whether those particular items were originally purchased at this price. The formula for this is:

Value of Inventory Under FIFO = (Units of Newest Inventory x Value) + (Units of any other Newer and Remaining Inventory x Value)

For example, assuming you own a company that sells t-shirts. Your inventory may look like this, you bought:

- 200 shirts in January at $2;
- 200 shirts in February at $3;
- And 100 shirts in March at $4.

That's a total of 500 shirts bought. Assume also that only 300 shirts were sold during the year. If you were charged with developing the company's balance sheet at the end of the year, you can work it out using the FIFO method.

Under FIFO, you must assume that you sold the oldest inventory first. The beginning inventory — the 200 t-shirts which you purchased in January — are sold, plus the first 100 in February, for a total of 300 t-shirts sold. If only 300 items were sold, the 200 t-shirts are still in inventory.

In order to value your inventory using FIFO for the company's balance sheet, you multiply the 100 items that are left from

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your February purchase by the $3 that you initially paid to purchase them. You can then add that to the 100 items left that you bought in March, multiplied by the $4 you spent to buy them.

Practically, it looks like this:

Value of Inventory Under FIFO = (100 X $4) + (100 X $3) = $700

Last In, First Out (LIFO)

As the rather unimaginative name suggests, this method is the opposite of the FIFO method of inventory costing. Under LIFO, you assume that any inventory sold was purchased under the cost of the most recent stock purchase, irrespective of when it was acquired by the business. Therefore, the formula for LIFO is given as:

Value of Inventory Under LIFO = Oldest and Remaining Units of Inventory x Value

Let's use the same example illustrated above to work this out.

Remember that even though 500 t-shirts were purchased, only 300 units were eventually sold. We automatically assume that these were the last 300 shirts purchased. Out of that number, 200 were purchased in February at $3 per unit. 100 were purchased in March at $4 per unit. Here is the equation:

LIFO = (200 X $3) + (100 X $4) = $1000

From this, it is obvious that using different inventory costing methods can also lead to different results, so it's important to choose the one that is best suited for your business.

Average Cost Method

The average cost method — also referred to as the weighted

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average cost method — is mostly used by companies that do not have any major changes to their inventory over a prolonged period of time and is calculated as a moving average of all inventory purchase costs. It can also be stated as the average costs of buying inventory, therefore assigning individual costs to different items.

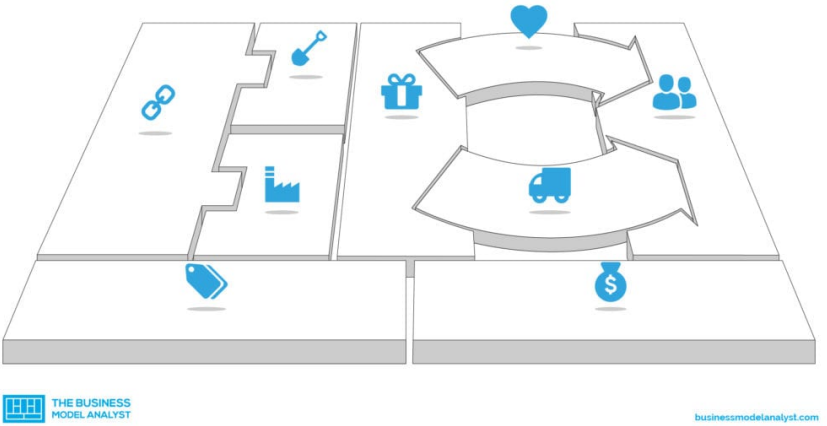
A feature of this type of inventory costing is that the weighted average cost must be recalculated every time a piece of inventory is either purchased or sold, which explains why the cost is expressed as a moving average. However, this is usually handled by some form of accounting software.

Specific Identification Method

The specific identification method matches the inventory cost of an item sold to its actual cost perfectly. This is best used for businesses or industries which have a low inventory turnover, where the sale and purchase of each item can be closely tracked. It gives the most accurate information on the cost or value of the stock in the inventory, but can be quite cumbersome or nearly impossible for industries associated with high product turnover.

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WHAT IS A COST STRUCTURE?



We've defined costs as expenses incurred by a business during the course of developing, creating, and providing a good or service. This is important because when critically analyzing a business, two key factors must be considered:

- How does the business plan on making money;
- How does the business plan on spending money.

While most people are interested in the first factor, they seem to overlook the importance of having a deep understanding of how an organizational structure allocated and utilizes its resources to achieve several distinct but interconnected goals, all aimed toward creating a finished end-product. This

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easily overlooked process is an important part of business development and can be broadly referred to as the cost structure of the business.

A cost structure is a part of a business development model which highlights the specific expenses incurred by a business while operating under an outlined business model for the purpose of delivering the business's value proposition — typically a good or service.

It refers to the types and relative proportions of fixed and variable costs that a business incurs. In a nutshell, it is a well-outlined plan which demonstrates how a business spends resources — typically evaluated in monetary terms — to achieve its goals.

Having a well-defined cost structure is important for several reasons, which will be explained more deeply later on in the article. However, at its core, the cost structure helps you reliably determine whether your current business model is sustainable or not. It aids in policymaking, resource allocation, decision-making, and auditing.

From a multinational Fortune 500 company to a mom-and-pop shop in a local suburb, virtually every business is associated with costs in one form or the other. These costs may be fixed, variable, direct, indirect, and so on. However, the type, scope, and scale of these costs are usually dependent on the size and type of business entity involved.

From the explanation above it is obvious that a cost structure is closely tied to other components of the business model such as Key Resources, Key Partnerships, Key Activities, and even Value Proposition. The first three items are usually the major cost drivers within a business organization, and should therefore have to be carefully analyzed before an accurate cost structure can be crafted.

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COST DRIVEN BUSINESSES VS VALUE DRIVEN BUSINESSES

Through the study of cost, cost allocation, and cost structures we have identified more than just different types of expenses. We've been able to classify business entities based on how they interact with the concept of cost within their business model. The two broad classifications are **cost-driven businesses** and **value-driven businesses**.

Before we delve into these classes, it's important to note that neither class is inherently better or more profitable than the other. Each faces its unique challenges and, of course, possesses unique benefits as well. They are simply distinct ways of approaching the problem of cost and resource management within the world of business.

COST-DRIVEN

When discussing a cost-driven business model, it is important to understand that the primary interaction of this type of business with the issue of resource allocation is an attempt to minimize expenses as much as possible to maximize profits. Therefore, such businesses are driven by the aim of reducing costs as much as they can through various techniques.

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There are several ways through which a cost-driven business can achieve greater cost reduction. This could include specialization, outsourcing, automation, and using low-price value propositions.

It's important, however, that such businesses do not turn this aim into a price war, which may only lead to long-term business unsustainability and eventually business failure. Prices should only be reduced as a response to greater efficiency and reduced internal expenses.

It's also important to note that cost-driven businesses are also more company-centered as against being consumer-centered. Some examples of cost-driven industries include things such as manufacturing industries associated with the large-scale production of low-budget items, the fast food industry, non-designer textile and fashion, and so on.

VALUE-DRIVEN

A value-driven cost structure on the other hand places more emphasis on its ability to create and provide value to its consumer base, instead of focusing primarily on the cost. These types of businesses tend to be high-end, customizable businesses which are designed to be consumer-centered and rather flexible. Some good examples of this would be industries such as the sports car industry, high-end fashion, fine dining, resorts, and other luxury industries.

Now, this is not to say that value-driven businesses provide more value for their customers than cost-driven businesses. In fact, in many cases, the value proposition of cost-driven businesses is their low prices. An industry is considered "value-driven" which simply means that experience is the first factor most of their customers think of before considering the price of the good or service.

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However, it’s key to remember that value-driven businesses are still businesses at the end of the day and even though their cost structure is not centered around cost reduction, they must still find ways to ensure that their revenue exceeds their expenditure. In that case, the only way for them to achieve this without compromising on consumer experience would be to charge premium prices for their services.

Another characteristic of this form of business is that they have a high degree of customer retention and a deep consumer relationship with their customer base. This may be absent or not as important with cost-driven businesses, but there are some important exceptions to the rule on both sides.

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WHAT IS COST STRUCTURE IN THE BUSINESS MODEL CANVAS?

Cost structures are an important part of the Business Model Canvas, typically the last part. Let's take a look at the basic structure of a Business Model Canvas.

The Business Model Canvas is a useful tool that can be used to build a basic layout of how a business operates. It is a unique visualization tool created by Professor Yves Pigneur and Dr. Alexander Osterwalder, at the University of Lausanne in Switzerland in 2005.

The standard chart is made up of nine core building blocks. Generally, these areas can be divided into four categories: **Client-based areas** (customer segments, customer relationships, and distribution channels), **offer-based areas** (value propositions), **resource-based areas** (key resources, key partners, and key activities), and **finance-based areas** (revenue streams and cost structure).

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FILLING IN YOUR BUSINESS MODEL CANVAS TEMPLATE

Let's take a closer look at each segment and what they mean within the field of business development.

- **Value Propositions**
  The value propositions are a summary of the products/services offered by your company. It's also an outline of why a potential customer should choose your products/services over that of a competitor.

- **Customer Segments**
  This refers to the particular demographic that your product/service is targeted towards, e.g. lower-income/higher-income households, families/singles, and so on.

- **Distribution Channels**
  How do you intend to communicate with your patients? This can be through email, text messages, an official website, social media platforms, and advertising.

- **Customer Relationships**
  Customer relationships involve how a business and its client interact within the context of the product/service delivery. This may be through personal assistance, dedicated personal assistance, self-service, communities, and so on. Customer relationships also include how the business plans on acquiring new clients, retaining old ones, and encouraging clients to expand their existing services.

- **Revenue Streams**
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income from the products/services they offer to its consumers. Typically, business models work using either a one-off payment model, subscription-based model, pay-per-use model, per-user model, or function as a pay-as-you-go service.

Also involved is the pricing mechanism that will be used by the business. This may be volume-dependent (how much of the service is used), customer segment-dependent (who is using the service), product feature-dependent (what is the quality of the service offered), or a fixed list pricing.

- **Key Activities**
  This refers to essential activities which must be carried out to ensure the business functions properly, which may include research and development, production, service delivery, marketing, customer service, and so on.

- **Key Resources**
  Key resources are the inputs that are required for this particular business model to work. This involves things such as material resources, technological inputs, human resources, intellectual property, financial resources, and so on.

- **Key Partners**
  Key partners are other businesses or entities which are essential to the functioning of your business. They may offer key services, maximize profits through economies of scale, reduce risk, help in resource acquisition, and provide other key services.

- **Cost Structure**
  This involves all costs that are linked to the operation of the business and the delivery of services. This may include employees' salaries, facilities maintenance,

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acquisition of equipment and software applications, and so on. Your cost structure is generally divided into fixed costs, ongoing costs, and one-off costs. Some other classes include product development costs, customer acquisition costs, and so on.

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ELEMENTS OF THE COST STRUCTURE

Now, it's not just enough to be aware of the different types of costs and cost structures. Applying these principles to a real-life business situation may take practice and practical knowledge. However, there are a few tricks you can use to minimize the difficulty of the task.

One of them is dividing the cost structure into several major components and slotting each cost into where it fits. This may not work perfectly for all types of costs or all businesses, but it's a great place to start, especially when you're confused. Let's take a look at the different elements of a cost structure.

PRODUCT COST STRUCTURE

This part is used to describe costs that are attributable to the direct production of the product or service. It generally includes both fixed costs and variable costs. Some of the fixed costs could include worker salaries and factory overhead. Variable costs include things like raw materials, shipping, and transaction fees.

CUSTOMER COST STRUCTURE

This has to do with expenses that are incurred due to customer interactions with the business. This could include warranty claims, customer service fees, credit notes, return of

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goods, and so on.

SERVICE COST STRUCTURE

This has to do with services that may not be directly related to the creation and delivery of the product or service, but are still essential for the smooth running of the business. They include administrative fees, taxes, legal fees, licensing, and so on.

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TYPES OF COST MODELS USED BY BUYERS OF MANUFACTURED PRODUCTS

Costing is quite important within the manufacturing industry because most manufacturers operate a cost-driven model, which means that marginal cost and marginal revenue must be thoroughly evaluated and tightly regulated to ensure the business remains profitable.

However, costing is not just important to the providers of a product. Buyers have a strong incentive to be aware of the cost of production of a good or service to ensure that they are being offered a fair valuation or that the costs of the items are not being artificially inflated.

On that note, several key costing models can be used by buyers to analyze the cost of the goods being provided to them by suppliers. It is important to point out that these models may not apply to all forms of business, and some models work better for particular industries than others.

OPEN BOOK COST MODELING

Open book cost modeling is a form of cost modeling in which information concerning the costs associated with the delivery

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of a good or service is openly provided to the consumer by the supplier. This includes fixed costs like salaries, overhead, equipment, and variable costs such as raw materials, shipping, and transaction fees.

In its simplest form, this type of cost modeling adopts what is known as a **cost-plus contract**, whereby the customer agrees to pay the supplier the total costs incurred in the provision of the product plus a predetermined margin.

One of the key advantages of this system is that it encourages full transparency both on the part of the supplier and the buyer. Since the buyer is allowed to see the individual costs incurred at each stage of the production process and understand the pricing margins of the supplier, they are less likely to fall prey to predatory price inflation.

Also, this transparency encourages trust and greater cooperation between both parties. It helps to build long-term partnerships, to build a basis for data-driven pricing decisions, and also helps both parties identify potential risks and opportunities.

When operating this form of cost, it is important to be in touch with the legal, financial, and supply chain partners of the supplier to enable the efficient flow of information between both parties.

However, certain difficulties may be encountered during this process. One prominent issue is the level of monitoring required may be out of the scope and expertise of the buyer, requiring them to hire an external auditor — leading to higher costs — or leading to a poorly executed open book contract.

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KNOWLEDGE-BASED MODELING

Knowledge-based cost modeling is similar to open book cost modeling, however, the supplier is not the only source of cost information that is available to the buyer. The buyer may seek information from similar businesses, third-party auditors, and even public records. Due to this, the buyer is exposed to a wider range of information than the open book cost modeling method.

An advantage to this method is that it allows for preemptive costing. In an open book costing, the buyer can only add up the costs as the project transpires. Another advantage is that due to the fact that the buyer has multiple sources of information, they are not dependent on the supplier for information concerning the cost of the project. Also, due to the availability of additional project- and region-specific information, these cost projections can be personalized to the specific region or details of the product.

However, this form of cost modeling is also liable to fall prey to a large number of the shortcomings of the open book costing model. This includes the high amount of research and monitoring involved, however, it is usually less time and cost-intensive than the open book cost model. Also, a knowledge-based cost modeling model may end up being significantly less accurate than an open book cost model due to the fact that the information utilized is not only actual costing information from the supplier.

HYPER-OPTIMIZED COST MODELING

A hyper-optimized cost modeling system is a way of determining costs that deal with building a cost structure based on the best obtainable global rates instead of supplier

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information. Therefore, this type of costing system offers a theoretical model of what the cost of a project would be in ideal situations. Obviously, this is rarely achievable and there is a significant degree of variance between the calculated hyper-optimized cost model and the actual cost.

The goal of this type of cost modeling is to establish saving gaps between the hyper-optimized model and the actual cost. The goal is then for the supplier to find ways to bridge this gap through the use of various cost reduction techniques.

ATTRIBUTE-BASED COST MODELING

Attribute-based cost modeling is a cost allocation that does not essentially make use of information from the supplier or third-party auditors. Instead, the cost could be estimated using regression models obtained from similar products, projects, or services. This form of cost modeling is generally less accurate, but much easier, and does not rely on information from the supplier.

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EXAMPLE OF COST STRUCTURE

NETFLIX

Netflix is an American streaming service and production company that is currently based in Los Gatos, California. It was founded by Reed Hastings and Marc Randolph in 1997 in Scotts Valley, California as a DVD per-rental service before upgrading its services to a subscription model.

However, due to the negative cash flow business model of the company, it did not post a profit until six years later in 2003. This shows how a resource-heavy cost structure can significantly impact cash flow and company growth. Following this initial phase, the company experienced rapid growth in both profits and distribution. By 2005 the company was shipping out about 1 million DVDs a day and had over 35,000 different movies in its catalog.

The company branched out into the streaming industry in 2007 and eventually into production through its original production company, Netflix Originals. The company posted revenue of $29.7 billion in 2021 and a net income of $5.116 billion that same year.

The Netflix corporation has benefited significantly from this growth and has capitalized on both the economies of scale and economies of scope this position has offered them to drive growth. Now let's take a look at the key areas where

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Netflix spends money to run its operations.

- As expected of a top streaming company, a significant chunk of Netflix's costs go towards the acquisition, production, delivery, and licensing of streaming content. In fact, the company has reported that it projected that it would spend up to $17 billion in 2021 solely on content;
- Other significant costs include platform maintenance, software development, research, and patents, as well as Amazon Web Services (AWS) for the purpose of database management, data analytics, recommendation engines, and video transcoding;
- They also incur significant costs in supporting the data centers required to host these streaming contents;
- Advertising, Human Resources, customer support, legal fees, and other related services.

NIKE

Nike is a popular multinational corporation that specializes primarily in the design, development, manufacturing, and worldwide marketing and sales of footwear, sports and streetwear apparel, sporting equipment, accessories, and other related services. The company is headquartered in Oregon and was founded in 1964 as Blue Ribbon Sports, Inc by Bill Bowerman and Phil Knight. It later officially changed its name to Nike, Inc. in 1971.

The brand has since gained a cult-like following and has ingrained its image into the very fabric of modern culture. Famous products and spin-off brands such as the Air Jordan, Converse, Nike Pro, and Nike+ have made the company

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extremely profitable, with the firm posting annual revenue of $17.36 billion in 2021.

However, despite their continued success within the industry, a surprisingly large number of Nike products operate on a cost-driven system which sees them operate rather thin marginal revenues per unit product compared to their competitors. As much as 50% of the price of retail Nike products is retail markup, meaning that the wholesale cost is significantly lower than the retail price.

Let's take a look at how the Nike corporation funds its business enterprises.

- The biggest expense shouldered by the business is the cost of sales, which includes inventory sales and warehousing. It is estimated that this consumes as much as $21 billion per year;
- Another significant area the company spends money on is marketing, as the most valuable asset the Nike corporation possesses is its brand. The total cost of advertising, sponsorships, promotions, media, brand events and retail brand presentation is estimated to be about $3 billion per year;
- The brand incurs significant expenses on sea freight, insurance, customs duties and taxes, Free on Board costs, salaries, and so on;
- Other administrative and overhead costs are valued at about $500 million per year.

TESLA

Tesla, Inc. is a multinational American automobile company best known for its line of electric vehicles and its advances in

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the area of clean energy and self-driving cars. The company was founded in 2003 by Martin Eberhard and Marc Tarpenning, before being taken over in 2004 by its the current owner and CEO, the tech celebrity and billionaire Elon Musk.

Tesla was valued at $62.1 billion in 2021 and has a revenue of $53.8 billion in that same year. The company initially started mainly as a manufacturer of electric vehicles, but has since spread out to invest in a wide range of clean energy sources, especially photovoltaic cells (solar panels). The company is currently the largest global supplier of battery energy storage systems, with 3.99 gigawatt-hours (GWh) installed in 2021 alone.

The business model of the firm was initially a purely value-driven brand that made high-price, low-volume electric sports vehicles for a restricted clientele. However, through advancements in technology and further adoption of electric vehicles by the general public, the company aims to make electric vehicles more affordable.

As a manufacturing-focused company, a majority of its costs go towards production. Let’s take a look at the cost structure of the Tesla business model.

- Labor and manufacturing overhead together contributed to 81% of costs. A majority of Tesla's expenses are geared toward fixed manufacturing costs. Variable manufacturing costs also feature prominently and according to data from the company the costs are divided as follows; equipment (20%), body (12%), chassis (7%), drive system (15%), battery (35%), and other (11%);
- General and administrative costs also feature significantly, as well as taxes, legal fees, interest

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expenses, and so on;

- As expected, Tesla invests a significant amount of revenue into research and development related to product engineering, prototyping, research, contract and professional services, and costs from amortized equipment.

AIRBNB

Airbnb is an American online booking company based in California which provides rental or short-stay lodgings for tourists, primarily in the form of homestay arrangements. The business does not own any of the residences it lists, but simply receives a commission for facilitating the arrangement.

The company first began in 2008 under Brian Chesky, Nathan Blecharczyk, and Joe Gebbia with the original name AirBedandBreakfast.com, which was subsequently shortened to Airbnb. It first began as an idea by Chesky and Gebbia to lease out an air mattress in their living room to form a bed and breakfast, offering a place to tourists who had a hard time finding accommodation in the saturated hospitality market of San Francisco.

After receiving a much-needed cash injection from some early investors, the company rapidly expanded and by 2012 had achieved 700,000 bookings. They established their first international office in 2011 in the City of London and have since moved on to locations all over the world.

Airbnb posted revenue of $5.99 billion in 2021 and a negative net income of $0.35 billion, showing that the firm is currently operating on a negative cash flow model. Considering the current business model of Airbnb, the company practices cost reduction by simplifying its cost structure by not owning any of the locations that it lists.

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However, it seems that great marginal revenue or even further reduced marginal costs are required for this company to achieve consistent quarterly profitability.

Let's take a closer look at how a company like Airbnb spends money to keep operations going.

- One of the most significant costs in the business's operations currently is the cost of revenue. This refers to all the direct costs incurred by a business in the process of directly creating, marketing, and distributing a product. For Airbnb, this may refer to payment processing fees and insurance payments;
- The business also invests heavily in sales and marketing to drive customer acquisition and retention through activities such as customer discounts, brand promotions, referral programs, and even refunds;
- The company invests in the area of research and development as well to ensure that its platform is always competitive, functional, streamlined, and keeping up with current trends;
- They also have general and administrative costs as well.

GOOGLE

Google is certainly a company that needs no introduction and is considered one of the most valuable brands in the world. The reputation of the company is synonymous with the rise of the information technology industry, both within the United States and around the world. Google LLC began in 1998 through the work of Larry Page and Sergey Brin. The company originally started with a search engine but has since

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branched out to encompass a wide range of fields within the tech industry such as online advertising and e-commerce, cloud computing, AI, computer software, quantum computing, and consumer electronics.

However, despite their diversification into a wide range of fields, over 80% of the company's revenue is still derived directly from ad revenue. The company made over $209 billion in 2021 from its Internet advertising services on various platforms such as Google Search, YouTube Ads, and Network sites. This is because Google Ads operates as an attention-based business model. This means that the company does not directly market a "product", but rather sells user attention to interested brands who are willing to pay for this exposure to a wider consumer base.

Google also makes a significant amount of revenue from Google Play, Pixel phones, YouTube Premium, and Google Cloud. Let's take a look at the cost structure of Google.

- A significant amount of Google's expenses are geared towards the cost of revenue. This includes all activities directly-associated with the sales of their services;
- They also invest heavily in research and development as well;
- Marketing, sales, data centers, legal fees, as well as administrative costs are also a source of expenses.

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HOW IS COST MODELING DONE?

Let’s take a look at the stages involved in the process of constructing a standard cost model.
Segmenting the Expenses
The first step when building a cost model is noting all your expenses down and categorizing them in terms of any standard accounting format. They can also be grouped as fixed costs, variable costs, direct costs, and indirect costs.

These expenses can also be grouped in less conventional ways, such as costs that are dependent on square footage such as rent and cleaning expenses, or costs that are dependent on the number of hours worked such as overtime wages and electricity bills.

IDENTIFYING COST DRIVERS

A cost driver can be defined as an activity that triggers a change in cost. For example, the cost driver for labor costs could be assumed to be factors such as the number of hours worked, the amount paid in overtime, worker bonuses, and so on. Cost drivers are typically variable costs because their value changes with changes in output.

It is important to remember that variable cost drivers are usually more important than fixed costs when it comes to profitability. This is because fixed costs are relatively stable over short periods of time, but variable costs can vary more

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widely over the short term and are better determinants of short-term profitability.

FOCUS ON TOTAL COST OF OWNERSHIP

Once you have identified the different costs associated with running the business and each of its drivers, you can use this information to build an estimate of the total cost of ownership. The total cost of ownership is an accounting term used to refer to the cost to buy something plus the cost to operate it over its useful life.

Also, it is important to group these costs into logical groups which can be used for future policymaking and decision-making. For instance, if the company is planning on expanding to new locations in an attempt to drive up sales, which costs will be affected? This includes both fixed costs and variable costs. How will this affect profitability? In the end, is it a wise decision? All these questions cannot be answered without adequate actionable information.

ALLOCATE COSTS TO EACH SUPPLIER

It is also a wide decision to segregate your costs among the different suppliers. This is especially important for large manufacturers which typically make use of numerous vendors, each of which offers different benefits in terms of cost, reliability, and other features. This helps in future decision-making, especially when it comes to changing vendors.

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Larger manufacturers who may find the process of categorizing these vendors tedious and inefficient can group them into large categories while still maintaining common cost-oriented criteria for the purpose of decision-making.

CREATE A STANDARD COSTING SYSTEM

Using the information gathered from the previous stages, it is now possible to craft a standard, reproducible, and flexible cost structure that the business can utilize as a framework for mapping out any current and future costs. Even if minor changes are made in the company's operational structure, these modifications can easily be applied to this costing model without too much difficulty.

A standard costing model is also great for detecting variances. This means differences between the expected costs and the actual costs noticed by a business entity. This may be positive or negative and should be looked into. If the reason for this variance cannot be detected, then this may be a sign of an issue with the costing model and further revision may be necessary.

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WHAT TO ASK WHEN CREATING A COST STRUCTURE?

When building a cost structure, there are some key questions that you should ask. They are:

- What are the baseline costs that you expect to encounter due to your business model?
- Is your business more cost-oriented or value-oriented?
- Which Key Resources and Key Activities can be a heavy expense for the business, as well as how do they generate these costs?
- Do these Key Activities and Key Resources correspond to the Value Propositions of your business?
- How are your variable and fixed costs affected when you reconfigure your business model?

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CONCLUSION

Costs are just as important as revenue when it comes to running a successful business. Having a well-designed cost allocation system is vital for the success of any business, irrespective of the industry, size, and type of cost structure. It helps in decision-making, planning, growth monitoring, and the determination of an accurate pricing model.

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